IN THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH

CA (CAA) No.22/ALD/2021
(Under Sections 230-232 of the Companies Act, 2013)

In the matter of
The Companies Act, 2013

And

In the matter of
Sections 230-232, and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016

And

In the matter of
Jubilant Generics Limited, having Corporate Identification Number as U24100UP2013FLC060821and having its registered office situated at Plot 1A, Sector 16A, Institutional Area, Noida, Gautam Buddha Nagar - Uttar Pradesh - 201301

…..Applicant Company No. 1/ "Transferor Company"

And

Jubilant Pharmova Limited, having Corporate Identification Number as L24116UP1978PLC004624 and having its registered office situated at Bhartiagram, Gajraula, District Amroha, Uttar Pradesh - 244223

…..Applicant Company No. 2/"Transferee Company"

AND

their respective Shareholders and Creditors

1. Jubilant Generics Limited
2. Jubilant Pharmova Limited …

Applicant(s)

Date of Hearing: 03.11.2021
Date of Pronouncement: 15.11.2021

Coram:
Shri Rajasekhar V.K. : Member (Judicial)
Shri Virendra Kumar Gupta : Member (Technical)

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Counsel on Record for the Applicant(s):
Shri Rahul Agarwal, Advocate

ORDER

Per: Virendra Kumar Gupta, Member (Technical)

1. The instant application has been filed in the first stage of the proceedings under Section 230(1) read with Section 232(1) of the Companies Act, 2013 ("**Act**") for orders and directions with regard to meetings of shareholders and creditors in connection with the Scheme of Arrangement between Jubilant Generics Limited, being the Applicant No.1 abovenamed ("**Jubilant Generics**" or "**Applicant No.1**") and Jubilant Pharmova Limited, being the Applicant No.2 above named ("**Jubilant Pharmova**" or "**Applicant No.2**") and their respective shareholders and creditors. The Scheme provides for demerger of the API business of the Transferor Company and vesting of the same with the Transferee Company from the Appointed Date, viz April 1, 2022 in the manner and on the terms and conditions stated in the said Scheme of Arrangement ("**Scheme**") enclosed as Annexure 1 to the Company Application.

2. It is submitted by Ld. counsel appearing for the Applicants that the shares of the Applicant No.1 are not listed on Stock Exchanges and the shares of the Applicant No.2 are listed on the Bombay Stock Exchange and the National Stock Exchange of India. Further, the Applicants have the following classes of shareholders and creditors:-

   (a) Applicant No.1: Equity Shareholders, Secured Creditors and Unsecured Creditors

   (b) Applicant No.2: Equity Shareholders, Secured Creditors and Unsecured Creditors

3. In regard to Applicant No. 1/ transferor company, it is submitted that there are 7 equity shareholders,8 secured creditors and 1238 unsecured creditors and all the equity shareholders and secured creditors have

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already given their consent to the Scheme by way of affidavits which are annexed to the application.

4. In regard to Applicant No.2/ Transferee company, it is submitted that there are 103703 equity shareholders, 2 secured creditors and 62 unsecured creditors and both the 2 secured creditors have already given their consent to the Scheme by way of affidavits which are annexed to the application.

5. Directions are sought accordingly for (a) dispensing with meetings of the Equity Shareholders and Secured Creditors of the Applicant No. 1 and Secured Creditors of Applicant No. 2, who have already given their consent to the Scheme and (b) convening of meetings of the Unsecured Creditors of Applicant No. 1 and Equity Shareholders and Unsecured Creditors of Applicant No. 2 to consider the Scheme under Section 230(1) read with Section 232(1) and Section 66 of the Act.

6. Upon perusing the records and documents in the instant proceedings and considering the submissions made on behalf of the Applicants, we allow the instant application and make the following orders:-

   (a) **Meetings dispensed**: Meetings of the Equity Shareholders and Secured Creditors of the Applicant No.1 and meetings of the Secured Creditors of the Applicant No.2 are dispensed with under Section 230(1) read with Section 232(1) of the Act.

   (b) **Meetings to be held | Date and Time**: The following meetings shall be convened and held at the following times on Saturday, January 15, 2022 for the purpose of considering, and, if thought fit, approving the said Scheme, with or without modification:-

   i. Meeting of Unsecured Creditors of Applicant No.1 at 11:00 AM at Bhartiagram Gajraula, District Amroha, Uttar Pradesh – 244223.

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ii. Meeting of Equity Shareholders of Applicant No.2 at 1:30 PM at Bhartiagram Gajraula, District Amroha, Uttar Pradesh – 244223.

iii. Meeting of Unsecured Creditors of Applicant No.2 at 4 PM at Bhartiagram Gajraula, District Amroha, Uttar Pradesh – 244223.

In the event any meeting, as aforesaid, spills over and is concluded after the time fixed for commencement of the succeeding meeting, such succeeding meeting shall be held immediately after such conclusion of the prior meeting.

(c) **Mode of meetings**: The meetings, as above, shall be held physically at Bhartiagram Gajraula, District Amroha, Uttar Pradesh – 244223.

(d) **Advertisement**: At least 30 (thirty) clear days before the meeting(s) to be held, as aforesaid, an advertisement of the notice of meeting(s) be published once each in the Financial Express in English and Jansatta in Hindi, having wide circulation in District Gautam Buddha Nagar, Uttar Pradesh and Hindustan Times in English and Hindustan in Hindi, having wide circulation in District Amroha, Uttar Pradesh as per Rule 7 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016.

(e) **Individual Notices**: At least 30 (thirty) clear days before the date of the meeting(s) to be held, as aforesaid, notices convening the said meeting(s), along with all documents required to be sent with the same, including a copy of the said Scheme, statement prescribed under the provisions of the Act disclosing necessary details and the prescribed form of proxy and postal ballots, shall be sent to each of the Unsecured Creditors of the Applicant No. 1 and Unsecured Creditors of the Applicant No. 2 as per the list appended as Annexures 18 and 21 of the Company Application respectively and the Equity Shareholders of Applicant No.2 who hold shares as on December 3, 2021 (cut-off date) as per Rule 6 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, by post or courier at their respective last known addresses or by email where email addresses are available. Postal ballots shall not be issued to those shareholders to whom notices are being issued by email. The respective notices along with accompanying documents shall also be

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posted on the websites of the Applicant No. 1 and Applicant No 2, respectively, if any. The Chairperson appointed for the said meetings to issue and send the notices of the aforesaid meetings. The Chairman is permitted to issue, through NSDL, only electronic notices (without postal ballot) to shareholders having dematerialized accounts as on the cut-off date. Postal notices (including postal ballot) may be sent only to those shareholders who own physical shares on the cut-off date or whose email addresses are not available.

(f) **Chairperson**: Shri Pradeep Kumar, Advocate (Mobile No. 9415308542) and failing him, Shri Sumit Kakkar, Advocate (Mobile No. 9450627193) is appointed as the Chairperson of the meetings to be held, as aforesaid. Each of these persons shall be paid a consolidated sum of ₹1,00,000/- for conducting the aforesaid meetings. The Chairperson shall have all other powers under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 read with the other applicable rules and provisions in relation to conduct of the meetings, including for deciding procedural questions that may arise at the meeting or at any adjournment thereof, or any other matter relating to the meetings, including an amendment to the Scheme, if any proposed by any persons.

(g) **Scrutinizer**: Shri SK Gupta, Practising Company Secretary (Mobile No. 9415042137) and failing him, Shri Ankit Singh, Company Secretary (Mobile No. 8009166450) is appointed as the Scrutinizer of the meetings to be held, as aforesaid. Each of these persons shall be paid a consolidated sum of Rs. 75,000/- for the meetings.

(h) **Quorum and Attendance**: The quorum for the meeting of members entitled to attend the same shall be determined in accordance with Section 103 of the Companies Act, 2013 and the quorum for the meeting of unsecured creditors entitled to attend the same shall be determined in accordance with Section 230(6) of the Companies Act, 2013.

For computing the quorum, persons present through valid proxy shall also be considered. In case the quorum of any meeting is not present within half an hour from the time appointed for the meeting, the Chairperson may adjourn such meeting to any date/time and take a decision on the quorum for the adjourned meeting or alternatively it may

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be provided that the shareholders / creditors present shall be deemed to constitute quorum.

(i) **Mode of Voting**: At the venue of the meetings held physically, voting shall be conducted physically by polling paper. Further, in case of meeting of Equity Shareholders of Applicant No. 2, facility for voting by postal ballot / remote e-voting shall also be provided during the period starting from December 16, 2021 (9:00 A.M.) to January 14, 2022 (5:00 P.M.). The facility for remote e-voting shall be disabled at 5:00 P.M on January 14, 2022.

(j) **Cut-off date**: The cut off date for determining the eligibility to vote and value of votes shall be (i) December 3, 2021 for the meeting of Equity Shareholders of Applicant No.2, and (ii) July 31, 2021, being the date of the list of Unsecured Creditors of the Applicant No.1 and for the Unsecured Creditors of the Applicant No.2 (as per relevant Annexures 18 and 21 of this Company Application) for the respective meeting(s) of Unsecured creditors. The value of the votes cast shall be reckoned and scrutinized with reference to the said dates. The value of each Unsecured Creditor of Applicant No. 1 and each Equity Shareholder and Unsecured Creditor of Applicant No. 2 shall be in accordance with the books and records of the Applicants as on the cut-off date as stated above and, where entries in the books are disputed, the Chairperson shall determine the value for purposes of the said meetings.

(k) **Voting procedure**: Subject to the directions and matters dealt with herein, the procedure for voting by e-voting and polling paper and postal ballots and conduct of voting, in so far as the same is prescribed by the Companies (Management & Administration) Rules, 2014 ("**the said Rules**"), and the Forms thereunder shall be followed with such variations as required in the circumstances and in relation to the resolution for approval of the Scheme. Persons who are entitled and have an option to vote on the resolution put to a meeting by (a) remote e-voting or (b) by polling paper or (c) by postal ballots as above, may opt to exercise their votes only in one of such modes. In case, they cast their votes by postal ballot/ remote e-voting, as aforesaid, they will not be entitled to vote again at the meeting, whether in person or by proxy. If they do so, the votes so cast by them at the meeting shall be treated as invalid. Further,

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in the event the same shareholder casts votes by e-voting as also by postal ballot, the vote cast by e-voting shall prevail and the postal ballot shall be disregarded. It is clarified that such persons choosing to cast their votes by postal ballot/remote e-voting shall nevertheless be entitled to attend and participate in the discussions in such meeting but shall not be entitled to vote again at such meeting.

(l) **Proxies & Board Resolutions**: A person, including a Body Corporate, entitled to attend and vote at the venue of a meeting, as aforesaid, may do so personally or by proxy, provided the proxies in the prescribed form duly signed by such person and/or the certified copy of resolution of the Board of Directors or other governing body of such person, where it is a Body Corporate, authorising its representative to attend and vote at such meeting on its behalf, as the case may be, is deposited at the registered office of the concerned Applicant Company not later than 48 (forty eight) hours before the time for holding such meeting. If a Body Corporate chooses to vote by postal ballot/ remote e-voting a scanned copy of such board resolution shall be sent by email to the Scrutinizer. It is clarified that proxies can only attend at the venue of the meeting and vote thereat by polling paper and are not entitled otherwise to attend or to vote by postal ballot/remote e-voting.

(m) **Scrutinizer's Report**: The votes cast shall be scrutinised by the Scrutinizer. Votes cast in all the modes shall be consolidated. The Scrutinizer shall prepare and submit the respective reports on the meetings along with all papers relating to the voting to the Chairperson of the meetings within 3 days in the case of meetings of the Unsecured Creditors of the Applicant No. 1 and Applicant No. 2 and within 48 hours in the case of meeting of Equity shareholders of Applicant No. 2 after the conclusion of the respective meetings. The Chairperson shall declare the results of the meetings after submission of the reports of the Scrutinizer.

(n) **Declaration of Results**: The resolution for approval of the Scheme of Arrangement put to a meeting shall, if approved by a majority in number representing three-fourths in value of the respective Unsecured Creditors of Applicant No. 1, and Equity Shareholders and Unsecured Creditors of Applicant No. 2, casting their votes, as aforesaid, shall be deemed to have

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been duly passed on the date of such meeting under Section 230(1) read with Section 232(1) of the Companies Act, 2013. The declaration of results by the Chairperson shall be displayed on the Notice Board of the Applicant No. 1 and Applicant No. 2 at its registered office, and shall also be posted on the websites of the Applicants, if any. Further, such declaration of results of the meeting of Equity Shareholders of Applicant No.2 shall also be posted on the website of the Agency providing the facility for e-voting for the Applicant No. 2. In addition to the aforesaid, all other requirements with regard to publication and communication of Scrutinizer's report and Chairperson's declaration of results, as prescribed under the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 should also be complied with in case of Applicant No. 2.

(o) The Chairperson to report to this Tribunal the results of the said meetings within four weeks from the date of the conclusion of the said meetings. Such report shall be in Form No. CAA4 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, verified by affidavit.

7. Notice under Section 230(5) of the Companies Act, 2013 along with all accompanying documents, including a copy of the aforesaid Scheme and statement under the provisions of the Companies Act, 2013 shall also be served on the (i) Central Government through the Regional Director, Northern Region, Ministry of Corporate Affairs; (ii) Registrar of Companies, Uttar Pradesh within whose jurisdiction the Applicant No. 1 and Applicant No.2 are registered; (iii) Income- Tax Authorities within whose jurisdiction the Applicants are assessed, clearly indicating the PAN of the company concerned; (iv) Securities and Exchange Board of India by sending the same by hand delivery or by registered / speed post or by email forthwith after the notices are sent to the shareholders and creditors, as aforesaid. The notice shall specify that representation, if any, should be filed before this Tribunal within 30 days from the date of receipt of the notice with a copy of such representation being simultaneously sent to the

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Advocate of the said Applicants. If no such representation is received by the Tribunal within such period, it shall be presumed that such authorities have no representation to make on the said Scheme of Arrangement. Such notice shall be sent pursuant to Section 230(5) of the Companies Act, 2013 read with Rule 8(2) of the Companies (Compromises, Arrangements and Amalgamations) Rules 2016 in Form No. CAA3 of the said Rules with necessary variations, incorporating the directions herein. Further, the company petition shall be accompanied by the Observation Letter issued by the Stock Exchanges in which the shares of the Applicant No.2 are listed.

8. The Applicants to file an affidavit proving service of notices of meetings and publication of advertisement and compliance of all directions contained herein at least a week before the meetings to be held.

9. The application being Company Application (CAA) No. 22/ALD/2021 is disposed of accordingly.

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VIRENDRA KUMAR GUPTA
Member (Technical)

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RAJASEKHAR V.K.
Member (Judicial)

Swati Gupta
(LRA)